

When reading the white paper, the first question to ask is: What problem does it solve? In other words, is there a reason for this cryptoasset and its associated architecture to exist in a decentralized manner? There are lots of digital services in our world, so does this one have an inherent benefit to being provisioned in a distributed, secure, and egalitarian manner? We call this the *decentralization edge*. Put bluntly by Vitalik Buterin, “Projects really should make sure they have good answers for ‘why use a blockchain.’”³

A number of cryptoasset-based projects focus on social networks, such as Steemit⁴ and Yours,⁵ the latter of which uses Litecoin. While we admire these projects, we also ask: Will these networks and their associated assets gain traction with competitors like Reddit and Facebook? Similarly, a cryptoasset service called Swarm City⁶ (formerly Arcade City) aims to decentralize Uber, which is already a highly efficient service. What edge will the decentralized Swarm City have over the centralized Uber?

In the case of Steemit and Yours, we understand content creators will get directly compensated. This may draw more quality content to the platform, which will thereby drive more use. In the case of Swarm City, the drivers won’t be losing 20 to 30 percent of every fare to a centralized service, so over time, more drivers may come to the platform. As more drivers come to the platform, there may be increased availability of Swarm City cars, and therefore the service may be more beneficial to the end user. Just as with Steemit and Yours, a